

FINANCIAL ADVISOR MEMORANDUM*Proposed Tyler Alternate Delivery Site Operating Bridge***Draft Revision 1.00****To:** Profound Hospice Care's Financial Advisor**Via:** Patrick Ayeni, Profound Hospice Care**From:** Geoff Schackmann, on behalf of Tyler Hospice Hold, LLC and its future operating subsidiary (intended DBA: Azalea Hospice)**Date:** August 6, 2026**Status:** Confidential, non-binding discussion draft for advisor review and redline

Purpose. This memorandum gives Profound's financial advisor a concise framework for evaluating the economics, funding mechanics, cash controls, and reporting obligations of a proposed Tyler ADS operating bridge. It is not a forecast, valuation, fair-market-value opinion, tax opinion, or commitment to close.

1. Executive framing

Tyler Hospice Hold, LLC, through its future operating subsidiary intended to use the DBA Azalea Hospice, proposes to fund and operate the Tyler expansion while Profound remains the licensed and enrolled hospice provider, controls payer receipts, and retains provider-level authority. The operating company has been identified and is currently undergoing diligence; formation and DBA registration remain pending. The business objective is a 12-month operating bridge, with one additional 12-month extension available only by mutual written agreement. The parties intend to document the relationship in definitive agreements after financial, legal, regulatory, payroll, and operational review.

The financial design is intended to protect Profound from funding Tyler's launch, isolate Tyler activity from Profound's existing operations, and give both parties timely visibility into claims, receipts, costs, reserves, and amounts due. The structure should not be characterized as a payment for access to billing credentials.

2. Confirmed business terms for documentation

Term	Current business understanding
Ownership of Tyler operating company	Geoff Schackmann 36%; Jim Bullard 25%; Tyler employee ownership group 39%. Profound is not currently assumed to receive permanent equity in the Tyler operating company.
Committed capital	\$250,000 of equity committed; approximately \$20,000 spent; approximately \$230,000 currently available.
Debt	No bank debt is assumed as a source of launch liquidity.
Profound fixed fee	\$7,500 per month, beginning September 1, 2026 after a signed non-binding framework and formal implementation launch, with the payment obligation documented in a narrow binding implementation provision or letter.
Direct costs	Tyler-specific direct costs reimbursed at cost, with no markup, subject to documentation and an agreed approval process.
Transition economics	Patrick will elect either a \$25,000 transition cash payment or a \$50,000 convertible note. Note terms remain open.
Term	12-month initial operating bridge; one additional 12-month extension only by mutual written agreement.
Tyler ADS address	13387 North Highway 69, Tyler, Texas.

3. Proposed funding and cash-control mechanics

Payer receipts. Profound controls the payer-deposit account and remains the recipient of collections associated with services billed by Profound. Azalea receives agreed reporting and inspection rights, not unilateral control over Profound's bank account.

Tyler accounting. Profound establishes a separate Tyler location, department, cost center, or subledger sufficient to isolate revenue, cash receipts, payroll, vendors, reserves, advances, and liabilities from its existing operations.

Working-capital prefunding. Azalea prefunds Tyler payroll and other approved Tyler obligations on a schedule established before the expense becomes due. Profound is not expected to finance Tyler operations from its legacy cash.

Reimbursement and waterfall. Definitive documents should state the order in which Tyler receipts fund patient-specific costs, payroll and employment taxes, required reserves, approved direct costs, the monthly Profound fee, repayment of documented Azalea advances, and any distributable residual.

Reconciliation. The parties complete a monthly close, supporting-document review, and true-up. Material discrepancies are carried as identified reconciling items with a named owner and resolution date rather than netted informally.

4. Employment and payroll control

The recommended base case is for Profound to be the W-2 employer of the core Tyler clinical workforce during the bridge, with Azalea prefunding payroll, taxes, benefits, and approved employment costs. Azalea may separately employ nonclinical management, marketing, finance, and development personnel whose roles are properly outside Profound's required clinical employment and provider-control structure.

One payroll provider or designated payroll agent should be the authoritative federal and state payroll-tax filer under Profound's EIN. A separate Gusto instance is acceptable only if Profound's payroll advisor confirms that the configuration will not create duplicate or inconsistent Form 941, W-2, state unemployment, or benefit filings. Tyler should remain separately reportable even if it is processed within Profound's existing payroll platform.

5. Financial reporting and transparency

The recommended monthly package should be delivered within 10 business days after month-end and include:

Report	Minimum content
Tyler operating statement	Accrual and cash views; current month; year to date; budget variance; direct costs; Profound fees; approved allocations.
Claims and receivables	Patient-level or claim-level billed charges, status, denials, ADRs, unapplied cash, aging, adjustments, and expected collection dates.
Collections and bank activity	Deposit detail, ERA/EFT tie-out, bank reconciliation, and Tyler receipts traced to the subledger.
Payroll	Gross wages, taxes, benefits, paid-time-off accruals, workers' compensation, funding date, and prefunding true-up.
Vendor and patient costs	Invoice-level pharmacy, DME, facility, supplies, laboratory, and other approved costs, including credits and disputes.

Report	Minimum content
Reserves and exposures	Overpayment, claims, hospice cap, employment, insurance deductible, and open audit or legal exposures.
Settlement statement	Beginning balance, Azalea advances, Profound fees, reimbursements, reserve movements, cash available, and amount due to either party.

6. Risk allocation, reserves, and protection

Insurance. Before launch, the parties should confirm professional liability, general liability, employment practices, cyber/privacy, workers' compensation, and any tail or extended-reporting requirements, including which entity is named insured or additional insured.

Reserves. A written reserve policy should govern claim denials, potential overpayments, ADR and audit exposure, hospice cap exposure, payroll obligations, and vendor disputes. Reserve releases should require documented support and agreed approval authority.

Indemnification. Definitive agreements should allocate Tyler-attributable liabilities while recognizing that contractual indemnity does not prevent a regulator, payer, employee, patient, or vendor from pursuing the legally responsible entity directly.

Stop-work protections. Profound should have defined rights to suspend admissions or spending for underfunding, material compliance concerns, patient-safety risk, excluded personnel, or failure to provide required records. Azalea should have notice, cure, reporting, and reconciliation rights where immediate action is not required.

7. Proposed vendors requiring diligence

FireNote. Azalea proposes FireNote for Tyler clinical documentation and related claims workflows. Before selection, Profound should confirm administrator and audit access, patient segregation, record ownership and retention, claim credentialing, ERA and A/R reporting, cybersecurity, interfaces, data export, business-associate terms, implementation cost, and exit portability.

DME Express. Azalea currently has a relationship with DME Express and proposes continuity for the Tyler patient cohort. Profound should determine whether it requires its own vendor agreement, assignment, credentialing, ordering controls, insurance documentation, pricing approval, and invoice-level reporting before services are furnished under Profound's provider responsibility.

Vendor selection is not a condition of the business concept. The decision should follow operational, clinical, financial, information-security, and legal diligence, with Profound retaining final approval for systems and vendors that affect its provider obligations.

8. Assumptions and open items

Item	Current status / decision needed
Financial projections	Intentionally excluded from this memo. The parties will work through a mutually accepted operating model before relying on projections.
Convertible note	Maturity, interest, conversion trigger, valuation method, ownership cap, dilution treatment, transfer limits, and repayment rights are not yet agreed.
FMV support	The \$7,500 monthly fee and other consideration should be tested and documented as commercially reasonable and consistent with fair market value.
Allocations	Any shared Profound cost must use a defined, consistently applied allocation methodology and may not duplicate a direct reimbursement.
Payroll platform	Authoritative filer, Gusto feasibility, benefit plans, workers' compensation, unemployment accounts, payroll cadence, and funding lead time remain to be confirmed.
Collection timing	Claims submission, remittance timing, recoupment handling, bad-debt treatment, and residual cash-distribution timing remain open.
Tax and accounting	Entity, income-tax, employment-tax, note-conversion, related-party, revenue-recognition, and consolidation conclusions require advisor review.

9. Questions for Profound's financial advisor

1. Does the proposed funding and payment waterfall prevent Profound's legacy operations from financing Tyler while preserving Profound's control of payer receipts?
2. What minimum prefunding level and replenishment cadence should apply to payroll, patient costs, and required reserves?
3. What accounting structure will provide reliable Tyler-level reporting without implying that Tyler is a separate Medicare provider during the bridge?
4. Which direct costs are reimbursable, which shared costs require allocation, and what documentation and approval thresholds should apply?
5. Can Tyler be separately processed through Gusto without duplicate payroll-tax filings, or should Profound's existing payroll provider be the sole processor and filer?
6. What reserve methodology is appropriate for denials, ADRs, overpayments, hospice cap, employment obligations, and claims runoff?
7. What evidence is needed to support the \$7,500 monthly fee and either transition option as commercially reasonable and consistent with fair market value?
8. How should the \$50,000 convertible note be structured and accounted for if Patrick selects that option?
9. What monthly close schedule, supporting reports, access rights, and dispute-resolution process are necessary for a timely true-up?
10. What liquidity threshold, covenant, or stop-admission trigger should apply if Azalea's available cash falls below the required operating reserve?

10. Recommended next steps

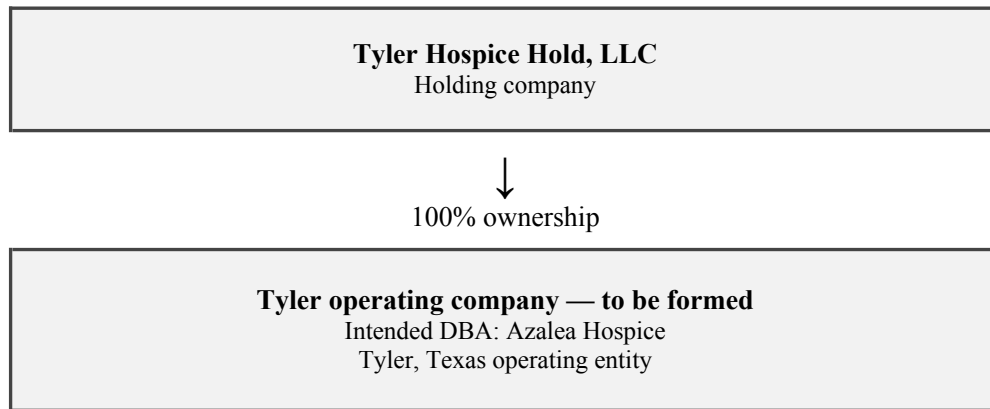
1. Confirm the business terms in the non-binding framework and document the September 1 payment obligation in a narrow binding implementation provision or letter.
2. Have Profound's financial advisor and counsel redline the proposed cash controls, payroll structure, reserve policy, fee support, reporting package, and transition economics.
3. Build and approve a mutually accepted Tyler operating model before adopting financial projections or liquidity thresholds for the definitive agreements.
4. Document the final structure through coordinated operating, funding, reimbursement, data-access, vendor, indemnity, transition, and reporting provisions.

10.1 Advisor confirmation requested

Workstream	Requested response
Cash controls	Confirm acceptable, or redline the prefunding, account-control, waterfall, reconciliation, and true-up provisions.
Accounting	Confirm the Tyler cost-center/subledger design, direct-cost policy, allocation method, close calendar, and reporting package.
Payroll	Confirm the authoritative payroll-tax filer and whether any separate Gusto configuration is workable.
Economics	Identify FMV support required for the monthly fee and transition option; propose convertible-note terms if selected.
Liquidity and reserves	Recommend minimum prefunding, reserve categories, replenishment timing, and stop-admission thresholds.

Requested advisor response. Please identify any financial-control or accounting issue that should prevent the parties from signing the non-binding framework, and provide proposed revisions to the open items above before definitive documentation.

Appendix A. Entity structure for drafting



Drafting note. The Tyler operating company has been identified and is currently undergoing diligence, but it does not yet exist as a formed subsidiary. Tyler Hospice Hold, LLC is intended to own 100% of that future subsidiary, and “Azalea Hospice” is the intended DBA/trade name of the operating company—not a separate existing legal entity.